

"The first of the month," I said.

"Does he have anything left over?" he asked.

"Very little," I said.

"That's the main reason he struggles," said rich dad. "He has bad habits."

"Your dad pays everyone else first. He pays himself last, but only if he has anything left over."

"Which he usually doesn't," I said. "But he has to pay his bills, doesn't he? You're saying he shouldn't pay his bills?"

"Of course not," said rich dad. "I firmly believe in paying my bills on time. I just pay myself first. Before I pay even the government."

"But what happens if you don't have enough money?" I asked. "What do you do then?"

"The same," said rich dad. "I still pay myself first. Even if I'm short of money. My asset column is far more important to me than the government."

"But," I said. "Don't they come after you?"

"Yes, if you don't pay," said rich dad. "Look, I did not say not to pay. I just said I pay myself first, even if I'm short of money."

"But," I replied. "How do you do that?"

"It's not how. The question is 'Why,'" rich dad said.

"OK, why?"

"Motivation," said rich dad "Who do you think will complain louder if I don't pay them-me or my creditors?"

"Your creditors will definitely scream louder than you," I said, responding to the obvious. "You wouldn't say anything if you didn't pay yourself."

"So you see, after paying myself, the pressure to pay my taxes and the other creditors is so great that it forces me to seek other forms of income. The pressure to pay becomes my motivation. I've worked extra jobs, started other companies, traded in the stock market, anything just to make sure those guys don't start yelling at me. That pressure made me work harder, forced me to think, and all in all made me smarter and more active when it comes to money. If I had paid myself last, I would have felt no pressure, but I'd be broke."

"So it is the fear of the government or other people you owe money I to that motivates you?"

"That's right," said rich dad. "You see, government bill collectors are big bullies. So are bill collectors in general. Most people give into these bullies. They pay them and never pay themselves. You know the story of the 96-pound weakling who gets sand kicked in his face?"

I nodded. "I see that ad for weightlifting and bodybuilding lessons in